Eastmere Bank

Know Your Customer and Customer Due Diligence Procedures

Frequently Asked Questions

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Owner: Head of Financial Crime Compliance
Related document: AML Risk Assessment Policy (EMB-AML-RAP-002)

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Section A: Purpose and Scope

Q1. What is the purpose of this FAQ document?

This FAQ supports Eastmere Bank staff in applying the Know Your Customer (KYC) and Customer Due Diligence (CDD) requirements set out in the Eastmere Bank Financial Crime Compliance Framework. It explains how the procedures work in day-to-day practice. Where this FAQ and the underlying procedure differ, the procedure prevails. (Policy reference: CDD-1.1)

Q2. Which customers and business lines are covered by these procedures?

The procedures apply to all new and existing customers of Eastmere Bank across Retail Banking, Business Banking, Commercial Banking and Private Wealth. They also apply to correspondent banking relationships managed by the Treasury and Institutional Banking unit. Customers of third-party introducers are covered once the relationship is booked on Eastmere Bank systems. (Policy reference: CDD-1.2)

Q3. How do these procedures relate to the AML Risk Assessment Policy?

This FAQ explains how to collect, verify and maintain customer information. The method for calculating a customer's risk score, and the score thresholds that place a customer in the Low, Medium or High risk tier, are defined separately in the Eastmere Bank AML Risk Assessment Policy (document EMB-AML-RAP-002). Staff must use both documents together: the risk tier determined under EMB-AML-RAP-002 drives the level of due diligence and the review frequency described in this FAQ. (Policy reference: CDD-1.3)

Q4. Who owns this document and who approves changes to it?

The document is owned by the Head of Financial Crime Compliance. Changes are reviewed by the Money Laundering Reporting Officer (MLRO) and approved by the Financial Crime Risk Committee. The document is reviewed at least once every 12 months, or sooner if regulation or internal policy changes. (Policy reference: CDD-1.4)

Section B: Customer Identification and Verification

Q5. What information must be collected for an individual customer?

For every individual customer, staff must collect the customer's full legal name, date of birth, residential address, nationality, and occupation or source of income. For Business Banking signatories, the customer's role within the business must also be recorded. (Policy reference: CDD-2.1)

Q6. Which identity documents are acceptable for individuals?

Acceptable primary identity documents are a valid passport, a valid national identity card, or a valid driving licence that includes a photograph. Expired identity documents are not accepted under any circumstances. In addition to the primary document, proof of residential address must be provided in the form of a utility bill, bank statement or government-issued letter dated within the last 3 months. (Policy reference: CDD-2.2)

Q7. What information must be collected for a business customer?

For business customers, staff must collect the registered legal name, trading name (if different), registration number, registered office address, principal place of business, nature of business, and the identities of directors and beneficial owners. A certificate of incorporation or equivalent registry extract must be obtained, and the extract must be dated within the last 6 months. (Policy reference: CDD-2.3)

Q8. Can an account be opened before verification is complete?

As a general rule, customer verification must be completed before an account is opened or any transaction is processed. The only exception is for Low-risk retail customers, where verification may be completed within 10 business days of account opening, provided no outgoing payments are permitted until verification is complete. This exception never applies to Medium-risk or High-risk customers, or to any business customer. (Policy reference: CDD-2.4)

Q9. What happens if verification is not completed within the permitted period?

If a Low-risk retail customer's verification is not completed within 10 business days, the account must be restricted to incoming payments only and referred to the Customer Due Diligence Operations team. If verification is still outstanding after a further 20 business days, the relationship must be exited and the case reviewed for possible suspicious activity reporting. (Policy reference: CDD-2.5)

Q10. How are customers onboarded without meeting staff in person?

Non-face-to-face onboarding is permitted through the Eastmere digital channel. It requires live video verification that matches the customer's face to their identity document, plus one additional independent check, such as an electronic verification against a credit reference agency or a first payment received from an account in the customer's own name at another regulated bank. Non-face-to-face onboarding cannot be used for customers whose provisional risk tier is High. (Policy reference: CDD-2.6)

Section C: Risk Rating and Screening

Q11. When must a customer be risk rated?

Every customer must receive a risk rating before the account is opened, and the rating must be refreshed at every periodic review and every trigger-based review. The rating is calculated using the scoring model in the AML Risk Assessment Policy (EMB-AML-RAP-002). (Policy reference: CDD-3.1)

Q12. Can a relationship manager override a calculated risk rating?

A relationship manager may request a downgrade of a calculated risk rating by one tier only, and only with written justification. Any downgrade requires approval from a Financial Crime Compliance officer. An upgrade to a higher tier can be applied by the relationship manager at any time without approval. Ratings of High can never be downgraded to Low in a single step. (Policy reference: CDD-3.2)

Q13. What screening checks are required at onboarding?

At onboarding, every customer, director and beneficial owner must be screened against sanctions lists, politically exposed person (PEP) lists, and adverse media sources. Onboarding cannot proceed until any potential matches have been investigated and cleared or escalated. (Policy reference: CDD-3.3)

Q14. How often are existing customers re-screened against sanctions lists?

All existing customers, directors and beneficial owners are automatically re-screened against sanctions lists daily. PEP and adverse media re-screening is performed monthly. A confirmed sanctions match must be escalated to the MLRO the same business day, and the relevant accounts must be frozen pending review. (Policy reference: CDD-3.4)

Section D: Beneficial Ownership

Q15. What is the beneficial ownership threshold for identifying owners?

For Low-risk and Medium-risk business customers, Eastmere Bank identifies and verifies every individual who owns or controls 25% or more of the shares or voting rights, directly or indirectly. (Policy reference: CDD-4.1)

Q16. Is a different beneficial ownership threshold applied to High-risk customers?

Yes. For business customers rated High risk, the threshold is lowered to 10%. Every individual who owns or controls 10% or more of the shares or voting rights must be identified and verified. This lower threshold also applies to all correspondent banking relationships, regardless of their risk tier. (Policy reference: CDD-4.2)

Q17. What if no individual meets the beneficial ownership threshold?

If no individual meets the applicable threshold, staff must identify the individual who exercises control over the business through other means, such as the chief executive officer or managing director, and record that person as the controlling individual. The reason no ownership-based beneficial owner exists must be documented on file. (Policy reference: CDD-4.3)

Q18. How should complex ownership structures be handled?

Where a business customer's ownership includes more than three layers of legal entities, or includes a trust or an entity registered in a jurisdiction rated High risk under EMB-AML-RAP-002, staff must obtain an ownership structure chart signed by a director, and the case must be reviewed by a Financial Crime Compliance officer before onboarding. (Policy reference: CDD-4.4)

Section E: Enhanced Due Diligence and Politically Exposed Persons

Q19. When is Enhanced Due Diligence (EDD) required?

Enhanced Due Diligence is required for all customers rated High risk, all politically exposed persons and their family members and close associates, all correspondent banking relationships, and any customer with a confirmed link to a jurisdiction rated High risk under EMB-AML-RAP-002. (Policy reference: CDD-5.1)

Q20. What additional measures does Enhanced Due Diligence involve?

Enhanced Due Diligence involves verifying the customer's source of wealth and source of funds with documentary evidence, obtaining senior management approval before onboarding or continuing the relationship, and applying enhanced ongoing transaction monitoring. Source of wealth evidence must cover how the customer's overall wealth was accumulated, not just the funds used to open the account. (Policy reference: CDD-5.2)

Q21. Who must approve a relationship with a politically exposed person?

A new or continuing relationship with a politically exposed person must be approved by the Head of Financial Crime Compliance, or by a named deputy formally delegated in writing. Relationship managers and branch managers cannot approve PEP relationships. (Policy reference: CDD-5.3)

Q22. How long does a customer remain classified as a politically exposed person after leaving office?

A customer remains classified as a politically exposed person for a minimum of 24 months after leaving the prominent public function. After 24 months, declassification is not automatic: the MLRO must approve it based on a documented assessment of the customer's ongoing risk. (Policy reference: CDD-5.4)

Section F: Periodic and Trigger-Based Reviews

Q23. How often must customer due diligence be refreshed through periodic reviews?

Periodic review frequency depends on the customer's risk tier. High-risk customers must be reviewed every 12 months. Medium-risk customers must be reviewed every 24 months. Low-risk customers must be reviewed every 36 months. The review date is counted from the date of the last completed review, not the date the review was started. (Policy reference: CDD-6.1)

Q24. What does a periodic review involve?

A periodic review confirms that the customer's identification information is still accurate, re-screens the customer and related parties, recalculates the risk rating under EMB-AML-RAP-002, and checks that actual account activity is consistent with the expected activity recorded at onboarding. Any documents that have expired since the last review must be refreshed. (Policy reference: CDD-6.2)

Q25. Which events trigger a review outside the periodic review cycle?

A trigger-based review must begin within 5 business days when any of the following events occurs:

- a change in the customer's ownership or control;
- credible adverse media about the customer or a related party;
- an unusual activity alert that has been escalated to the Financial Intelligence Unit;
- the customer moving their residence or principal place of business to a jurisdiction rated High risk under EMB-AML-RAP-002;
- a request by the customer for a product that falls outside their expected activity profile.

A completed trigger-based review resets the periodic review date. (Policy reference: CDD-6.3)

Q26. What happens if a customer does not respond to a review request?

If a customer does not provide requested information within 30 calendar days, a final reminder is sent. If there is still no response after a further 30 calendar days, the account is restricted. If the information remains outstanding 90 calendar days after the first request, the relationship is referred to the exit process. (Policy reference: CDD-6.4)

Section G: Record Keeping and Escalation

Q27. How long must KYC and CDD records be retained?

All KYC and CDD records, including identification documents, verification results, screening outcomes and review records, must be retained for 7 years after the end of the customer relationship. Records relating to a suspicious activity report must be retained for 7 years from the date of the report, or 7 years after the relationship ends, whichever is later. (Policy reference: CDD-7.1)

Q28. What should staff do if they suspect money laundering during due diligence?

Staff must submit an internal suspicious activity report to the MLRO using Form EMB-ISR-01 within 2 business days of forming the suspicion. Staff must not inform the customer that a report has been made or is being considered, as this may constitute tipping off. The account must continue to be operated normally unless the MLRO instructs otherwise. (Policy reference: CDD-7.2)

Q29. Who can staff contact with questions about these procedures?

Questions about applying these procedures should be sent to the Financial Crime Compliance Advisory team. Questions about a specific suspicion must go directly to the MLRO and must not be discussed in general team channels. (Policy reference: CDD-7.3)